Report

Management Accounting Practices Before and After During the Greek Economic Crisis VS SubPrime Crisis in the US

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1. Introduction:

Over the past decades, new management accounting techniques have emerged that focus not only on financial reporting but also on non-financial reporting to strategically centre corporate decisions. The new economic environment calls for adaptation of management accounting practices in response to market dynamics. Overall, it cannot be denied that the crisis has had and continues to have an impact on management accounting.

It is widely believed that the current major financial crisis is the cumulative result of a series of parameters dating back to 2006.

The U.S. subprime crisis is the subprime mortgage crisis that occurred between 2007 and 2010 in the U.S. real estate market. It was a multinational financial crisis that contributed to the 2007–2008 global financial crisis. It was sparked by a sharp drop in home values in the United States after a housing bubble burst, resulting in mortgage defaults, foreclosures, and the devaluation of housing-related securities.

The financial crisis in the United States eventually prompted a global banking crisis and credit constraint that lasted until 2009. Greece was unable to service its rising debt as borrowing costs soared and finance dried up.

Research shows that Greece's current financial situation is mainly the result of poor financial management and unfair taxation. The Greek economy faced structural problems and the economy collapsed. This was related to the relative lack of connectivity of the Greek banking system with those of the United States and the United Kingdom and the significant lack of investment from Greek financial institutions.

2. Methods and Discussions:

Management accounting is the process of providing information, including financial accounting information, to managers for use in planning, decision-making, performance evaluation, control, cost management, and cost determination for financial reports. Management accounting includes reports prepared to meet the needs of the management.

Some of the accounting methods used for analysis are Activity based costing(ABC), Strategic Management Accounting(SMA), Customer Profitability Management(CPM), Historical Cost Accounting, Fair Value Cost Accounting.

Activity-based costing (ABC) is a method of allocating overhead and indirect costs, such as salaries and ancillary costs, to products and services. It enables a cost-effective challenge to find better ways to allocate and eliminate overhead. It also enables improved analysis of product and customer profitability. The term strategic management accounting was introduced in 1981 and is defined as providing and analyzing management accounting data about a company and its competitors for use in developing and monitoring business strategy. It is aimed at providing information for decision making, planning and effective participation in the decision making and strategic planning process.

Customer profitability management (CPM) is a strategy-related approach to determine the relative profitability of different customers or customer segments in order to design incremental strategies that add value to the most profitable customers and also allow the less profitable customers to be more profitable.

Fair value accounting refers to the technique of valuing your company's liabilities and assets at their current market value, as opposed to historical cost accounting, which values assets and liabilities at their purchase price.

There are a few distinctions between fair value accounting and historical accounting worth mentioning. Historical cost cannot be used to compare assets from various entities(as different methods may have been adopted for depreciation)., whereas fair value may. It's also worth bearing in mind that calculating fair value is far more complicated than calculating historical cost, and it necessitates a number of assumptions. When it comes to fair value vs. historical cost accounting, both approaches have advantages, but fair value accounting is the better choice for determining the current worth of an asset.

3. Greek economic crisis:

In 2009, the Greek budget deficit and debt rose to extreme levels and as a result, borrowing spreads increased dramatically. It was mainly characterized by high external debt, high inflation and high unemployment and low level of government revenues.

3.1 Methods:

The purpose of this study was to examine the impact of the Greek economic crisis on managerial accounting practices and to examine changing trends in usage and importance before and during the country's economic crisis.

The paper is essentially analysed over two periods. The first from August 2008 to May 2010, when the first signs of the crisis were observed, and the second from May 2010 until 2015, when Greece formally entered into a Loan Facility Agreement.

An email with a questionnaire was sent to various companies in 2008 and in 2013 . 301 firms in total responded to the questionnaire during both the times.

The importance and usage of Management Accounting Practices(MAP) was measured using an instrument, which consisted of a sixty-two seven-point Likert scale which was anchored by (1) “not important” and (7) “very important”

Respondents were asked to indicate the importance and usage of MAPs in their companies on the aforementioned scale.

For the surveys, 62 practices were loaded on 9 factors: traditional cost accounting systems, cost accounting techniques, ABC techniques, planning, budgeting, decision support systems, performance evaluation, strategy, and strategic management accounting.

3.2 Results:

The table lists all the 62 MAPs considered and gives the corresponding order of importance and usage.

	Importance				Usage			
	Before crisis		During crisis		Before crisis		During crisis	
Practices	Mean	SD	Mean	SD	Mean	SD	Mean	SD
Absorption costing (Practice 1)	4.86	1.53	4.81	1.34	5.74	1.34	5.68	1.28
Variable costing (Practice 2)	5.39	1.65	5.51	1.28	4.9	1.18	4.99	1.23
Batch/job order costing (Practice 3)	5.28	1.12	4.78	1.24	5.12	1.54	4.62	1.62
Process costing (Practice 4)	4.18	1.22	3.38	1.31	4.10	1.59	3.25	1.32
ABC (Practice 5)	4.52	1.51	5.51	1.46	4.45	1.64	5.39	1.54
Capital budgeting tools (Practice 6)	5.01	0.99	5.12	1.11	4.89	1.24	5.11	1.29
Formal strategic planning (Practice 7)	5.37	1.15	5.55	1.23	5.29	1.34	5.47	1.24
Long-range forecasting (Practice 8)	5.29	1.36	5.49	1.28	5.21	1.21	5.42	1.14
Strategic plans developed with budgets (Practice 9)	5.09	1.41	5.29	1.27	5.00	1.44	5.18	1.39
Strategic plans developed separately with budgets (Practice 10)	4.92	1.36	5.11	1.18	4.79	1.31	5.01	1.32
Flexible budgeting (Practice 11)	5.64	0.93	0.93	1.05	5.41	1.03	5.49	1.16
ABB (Practice 12)	4.42	1.62	5.24	1.58	4.30	1.44	5.19	1.46
Zero based budgeting (Practice 13)	5.01	1.01	4.97	1.09	4.94	1.12	4.91	1.02
Budgeting for controlling costs (Practice 14)	6.03	1.10	6.06	1.19	5.89	1.01	5.92	1.18
Budgeting for planning financial position (Practice 15)	5.94	1.15	6.02	1.23	5.75	1.24	5.82	1.31
Budget linking financial position, resources, and activities (Practice 16)	5.78	1.14	5.70	1.19	5.54	1.01	5.49	1.18
Budgeting for compensating managers (Practice 17)	6.05	1.19	5.92	1.04	5.90	1.24	5.79	1.21
Budgeting for coordinating activities across the business units (Practice 18)	5.19	1.14	5.17	1.19	5.21	1.10	5.22	1.05
Budgeting for evaluating managers' performance (Practice 19)	5.94	0.85	5.97	0.92	5.21	1.15	5.29	1.19
Budgeting for planning cash flows (Practice 20)	6.12	1.13	6.22	1.24	6.01	1.24	6.07	1.36
Budget for planning day-to-day operations (Practice 21)	5.85	1.29	5.89	1.32	5.69	1.31	5.74	1.29
ABM (Practice 22)	4.45	1.54	5.57	1.49	4.35	1.59	5.29	1.61
CVP analysis (Practice 23)	5.89	1.65	6.01	1.28	5.28	1.18	5.44	1.23
Product profitability analysis (Practice 24)	5.24	1.12	5.20	1.21	5.01	1.23	4.91	1.31
ABP (Practice 25)	4.20	1.41	4.98	1.36	4.10	1.36	5.09	1.44
Operations research techniques (Practice 26)	5.05	0.99	5.11	1.12	4.92	1.24	5.10	1.29
Benchmarking carried out within the wider organization (Practice 27)	5.44	1.24	5.49	1.36	5.41	1.29	5.47	1.18
Benchmarking of management processes (Practice 28)	5.52	1.34	5.56	1.26	5.40	1.24	5.44	1.34
Benchmarking of operational processes (Practice 29)	5.39	1.62	5.36	1.44	5.01	1.21	4.96	1.26
Benchmarking of product/service characteristics (Practice 30)	5.24	1.18	5.22	1.14	5.19	1.31	5.11	1.36
Benchmarking of strategic priorities (Practice 31)	5.30	1.48	5.49	1.22	5.20	1.09	5.52	1.28
Benchmarking with outside organizations (Practice 32)	5.34	1.36	5.55	1.26	5.18	1.12	5.42	1.28
Value chain analysis (Practice 33)	4.42	1.44	4.78	1.56	4.40	1.24	4.76	1.30
Product/service life cycle analysis (Practice 34)	4.59	1.36	5.48	1.44	4.50	1.30	5.41	1.32
Target costing (Practice 35)	4.33	1.32	4.89	1.39	4.24	1.36	4.81	1.36
Performance evaluation: balanced scorecard (Practice 36)	5.01	1.26	5.49	1.19	4.98	1.12	5.41	1.10
Performance evaluation: budget variance analysis (Practice 37)	5.99	1.10	6.01	1.21	5.89	1.01	5.92	1.18
Performance evaluation: cash flow return on ROI (Practice 38)	4.85	1.24	4.84	1.21	4.78	1.24	4.76	1.34
Performance evaluation: controllable profit (Practice 39)	5.01	1.26	5.03	1.28	4.98	1.26	5.05	1.26
Performance evaluation: customer satisfaction surveys (Practice 40)	5.36	1.32	5.44	1.34	5.30	1.19	5.38	1.29
Performance evaluation: divisional profit (Practice 41)	5.14	1.21	5.10	1.16	5.00	1.14	4.96	1.37
Performance evaluation: employee attitudes (Practice 42)	5.12	1.36	5.08	1.19	5.01	1.22	4.95	1.12
Performance evaluation: non-financial measures (Practice 43)	5.46	1.28	5.50	1.24	5.45	1.31	5.51	1.24
Performance evaluation: ongoing supplier evaluations (Practice 44)	5.21	1.24	5.18	1.2	5.14	1.29	5.10	1.36
Performance evaluation: production processes (Practice 45)	5.05	1.16	4.98	1.39	4.95	1.20	4.91	1.19
Performance evaluation: qualitative measures (Practice 46)	5.11	1.12	5.14	1.24	5.08	1.05	5.12	0.99
Performance evaluation: residual income (Practice 47)	4.94	1.31	4.96	1.29	4.85	1.18	4.86	1.27
Performance evaluation: EVA (Practice 48)	4.85	1.36	4.89	1.26	4.82	1.23	4.88	1.31
Performance evaluation: ROI (Practice 49)	5.02	1.34	4.94	1.27	4.86	1.34	4.90	1.38
Performance evaluation: team performance (Practice 50)	5.14	1.28	5.09	1.37	5.02	1.39	4.98	1.19
Industry analysis (Practice 51)	5.45	1.24	5.92	1.12	5.20	1.01	5.64	0.95
Analysis of competitive position (Practice 52)	5.34	1.39	5.71	1.14	5.29	1.12	5.61	1.14
Shareholder value analysis (Practice 53)	5.22	1.02	5.63	1.19	5.09	1.24	5.41	1.19
Competitor cost assessment (Practice 54)	4.51	1.35	5.62	1.28	4.40	1.25	5.62	1.15
Competitive position motoring (Practice 55)	4.62	1.37	5.71	1.30	4.21	1.32	5.44	1.24
Customer profitability analysis (Practice 56)	5.44	1.01	6.54	1.29	5.12	1.04	6.23	1.12
Competitor performance appraisal (Practice 57)	4.71	1.41	5.92	1.24	4.50	1.36	5.71	1.37
Lifetime customer profitability analysis (Practice 58)	4.40	1.36	5.39	1.34	4.01	1.37	5.12	1.45
Strategic cost management (Practice 59)	4.85	1.38	6.01	1.35	4.75	1.29	5.94	1.34
Strategic pricing (Practice 60)	4.81	1.27	5.96	1.31	4.70	1.30	5.82	1.24
Valuation of customers as assets (Practice 61)	4.12	1.41	5.41	1.24	4.01	1.34	5.22	1.38
Brand valuation (Practice 62)	4.24	1.37	5.42	1.20	4.10	1.36	5.34	1.44

According to the table budgeting for planning cash flows (Practice 20) was the most important and the most widely used practice before the crisis (mean value = 6.12), It ranked second in importance and usage during the crisis (mean = 6.22, 6.07 respectively). Customer profitability analysis (CPA) ranked 1 during the crisis with a mean value of 6.54 and 6.23 in importance and usage.

Budgeting for compensating managers, budgeting for planning financial position, and budgeting for controlling costs ranked high in importance and usage before the crisis.

Strategic cost management showed great deviation in importance and usage before and during the crisis. It ranked 3rd in usage during the crisis (mean = 5.94),and 47th in usage before the crisis (mean = 4.75). In importance, it ranks 47th before the crisis (mean value = 4.85) and 7th during the crisis (mean = 6.01) respectively).

Competitive position monitoring (Practice 50) was perceived to be relatively important during the crisis (mean value of 5.71) but was of low importance before the crisis (mean = 4.62)

Budgeting for evaluating managers' performance and CVP analysis are techniques that are perceived high in importance in both periods by managers, but at the same time score relatively low in usage, especially during the crisis. In contrast, absorption costing is a technique that ranks high in usage but low in importance in both surveys

During the crisis, budgeting for indicating manager’s performance and CVP analysis were ranked very low in usage but were considered important during both the periods. Whereas the usage was high and importance was ranked low for absorption costs.

Some performance evaluation practises, such as cash flow return on ROI, EVA, residual income, production processes, controllable profit, employee attitudes, team performance, and divisional profit, which were relatively used and perceived as relatively important before the crisis, have also lost their perceived importance and actual usage during the crisis.

4. The US Sub-Prime Crisis:

4.1 Origin of the Sub-Prime Crisis:

There were multiple causes of the crisis, with different levels of blame being assigned to financial institutions, regulators, credit agencies, government housing policies, and consumers, among others. The crisis was not an unintended consequence of a single source, but rather a combination of factors.

Since 2001, the Federal Reserve in the United Stateshas reduced interest rates to a record low of 1% to encourage economic growth. So investors in the U.S. and abroad looking for a low risk, high return investment started exploiting the U.S. housing market. The thought behind it was they could get better returns from interest rates of mortgages paid by homeowners. As a result of these increased investments, house prices started to dramatically increase. To create more investment opportunities to cash in on, lenders needed more mortgages. So, lenders and institutes began making loans to people with low unverifiable income and poor credit which were also known as subprime mortgages. As a result, mortgage debt was not a safe investment option anymore.

These new lax lending requirements and low interest rates made the MBS and CDOs seem like even better investment options. As borrowers couldn't pay for their expensive houses, or keep up with the mortgage payments, they started defaulting, which put more houses back on the market for sale. But there weren't any buyers. So supply was high, demand was low, and home prices started reducing. As prices fell, some borrowers suddenly had a mortgage value more

than their home was worth. As a result, many of them stopped paying. This resulted in more defaults, lowering prices further. So financial institutions stopped taking sub-prime mortgages and lenders had to deal with bad loans.

So, in short banks relied too much on derivatives and thus turned to selling bad mortgages to keep the supply flowing. As a result, there was a recession in the US.

The United States claimed that the world's industrial structure was changing from an industrial type to a service-oriented economy. External factors, such as resource allocation regulations, income levels, and even fashion fads, readily altered the development of this service-based economy.
Simultaneously, the United States has moved closer to economic bubbles under the leadership of financial capital.

In overview, the lack of government supervision and that of a credit rating system coupled with the exploitation caused by lenders bear unmistakable responsibility for the emergence of the subprime mortgage crisis.

4.2 Methods:

Historical cost accounting and fair value accounting are two methods used to record the price or value of an asset. Historical cost measures the initial cost value of an asset, whereas fair value measures the current market value of an asset.

When using fair value accounting, financial accounting is generally more accurate because it records the price at which an asset would be sold today.
Fair value accounting can be risky if prices are volatile, leading to inaccurate estimates.
While historical cost accounting is conservative and easy to calculate, it is often incorrect if a significant amount of time has passed since the initial purchase.

4.3 Analysis:

Fair value accounting was issued as United States accounting principle SFAS 157 in 2006. This needed that tradable assets like mortgage securities be valued consistent with their current market value instead of their historic cost or some future expected value. Once the marketplace for such securities became volatile and collapsed, the ensuing loss of value had a serious financial effect upon the institutions holding them notwithstanding that they had no immediate plans to sell them.

Critics blame fair value accounting for the subprime crisis, pointing out that fair value accounting has created difficulties in measuring the value of subprime positions. They argue that fair value accounting contributed to the excessive leverage used by banks during boom periods and led to a downward spiral during crisis periods, forcing banks to value assets at "fire" prices, creating much lower valuations of subprime assets than would otherwise be necessary, which led to contagion and resulted in a credit crunch.

On the other hand, proponents of fair value accounting believe that fair value is not the cause of the crisis. Instead, they suggest that fair value only communicates the effects of a bad

decision, such as a subprime loan. Proponents also believe that fair value accounting provides investors with transparency in a company's assets and liabilities.

4.4 Results:

In order to strike a balance between reliability and relevance, some experts propose double disclosure: fair value measurement supported by historical cost data: “The best way to ensure that regulators, investors and the market in general have a full understanding of the actual financial situation of banks is to include in the balance sheet changes in the value of financial instruments over time, together with historical cost data".

5. Conclusion:

The economic crisis has required more reliable and accurate MAPs in terms of cost and their role in decision-making. During the crisis, companies were interested in better and more precise processes for cost control and management, which can be provided mainly by modern calculation systems. Most of the budgeting techniques in particular are still considered important and are still widely used by management in cost control and planning as they are still rated very well.

In particular, study of the Greek economic crisis conducts empirical research and examines statistically significant differences before and during the economic crisis in Greece in the actual use and perceived importance of managerial accounting practices in companies.

The subprime experience demonstrates that there are two legitimate sides to the debate of fair value accounting vs historical accounting. The difficulties in financial markets were not purely the consequences of an accounting system. They were, more fundamentally, the economic consequences of a market in which a bubble had burst.

Overall, the results of this study provide a framework for management response in the face of an economic crisis, with regard to cost accounting systems and their uses.

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